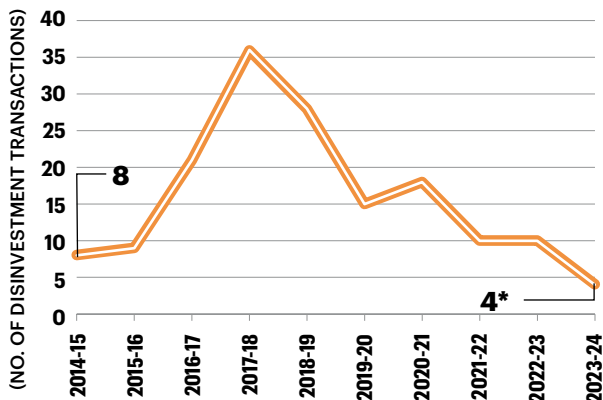


TRANSACTIONS DIP

► **MINORITY STAKE SALES MADE UP MOST DISINVESTMENT TRANSACTIONS**

► **TRANSACTIONS ARE LIKELY TO COME DOWN IN FY24 BECAUSE OF IMPENDING ELECTIONS**

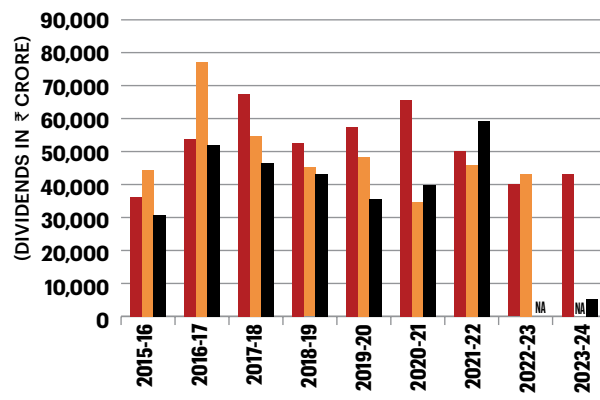


SOURCE: ANNUAL REPORT 2022-23 MINISTRY OF FINANCE, DIPAM; * DISINVESTMENT THIS FISCAL: SUUTI, HAL, COAL INDIA LTD, AND RAIL VIKAS NIGAM LTD

DIVIDENDS TALLY

► **DIVIDENDS FROM PSEs ARE A RICH SOURCE OF NON-TAX REVENUE**

► **THEY HELP MEET THE SHORTFALL IN DIVESTMENT RECEIPTS TO BRIDGE THE FISCAL DEFICIT**



● BUDGET ESTIMATES ● REVISED ESTIMATES ● ACTUALS

NA: NOT AVAILABLE; **SOURCE:** DIPAM, BUDGET DOCUMENTS, CGA

It is also in the process of appointing a CEO and Non-executive Chairperson, as well as professionals to man the agency.

Much remains to be done on the National Monetisation Pipeline as well, which had estimated asset monetisation of ₹6 lakh crore for FY22-25. The value of assets envisaged to be monetised was about ₹88,000 crore in FY22 and ₹1.6 lakh crore in FY23. The actual numbers were ₹97,000 crore in FY22, and about ₹1.3 lakh crore in FY23. For FY24, the target is about ₹1.8 lakh crore and government agencies are working out strategies. The National Highways Authority of India is looking to raise nearly ₹45,000 crore through asset monetisation.

With general elections approaching, the market is anticipating another slowdown in the disinvestment drive in FY24 though Dipam Secretary Tuhin Kanta Pandey has said that ongoing transactions are under process and the strategic sale in IDBI Bank and Shipping Corporation of India are on track. "It seems that the IDBI Bank stake sale may not take place in FY24. We don't expect any big-ticket disinvestment right now and it is likely that these may take place in 2025-26," says Swapnil Shah, Director-Research at StoxBox, an online brand of stockbroking firm BP Wealth. He adds that even larger investors may await clarity on the political front before stepping in to participate in stake sales.

The Union Budget 2023-24 has set a target of ₹51,000 crore from disinvestment. But, till now, disinvestment receipts have helped raise a tad over ₹11,500 crore, comprising ₹5,955.68 crore as dividend from CPSEs and ₹5,600.93 crore through OFS and other transactions. A minority stake sale in Indian Railway Finance Corp. and the IPO of Indian Renewable Energy Development Agency are expected in the coming months. Dipam has

also started work on the disinvestment of Indian Medicines Pharmaceutical Corp.

Though it is early days, finance ministry officials are understood to be reviewing the fiscal math and believe non-tax revenue through higher dividends such as the ₹87,000 crore-plus payment by the RBI may help the centre meet its targeted fiscal deficit of 5.9 per cent in FY24.

Expediting stake sales in PSEs is likely to remain a key priority for whichever government comes to power next year. Not only will it help bridge the fiscal deficit but it will also lead to better functioning, corporate governance and transparency in these firms. A recent report by Bank of Baroda had said that the potential kitty from disinvestment receipts if the government decides to bring down stake in all PSEs, public sector banks and other financial institutions to 51 per cent would be at about ₹3.5 lakh crore. Of this, ₹1.7 lakh crore can come from PSEs and ₹1.8 lakh crore from financial institutions, it said.

Clearly, disinvestment will remain the buzzword in the years to come although it's unlikely to become less challenging. **BT**

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